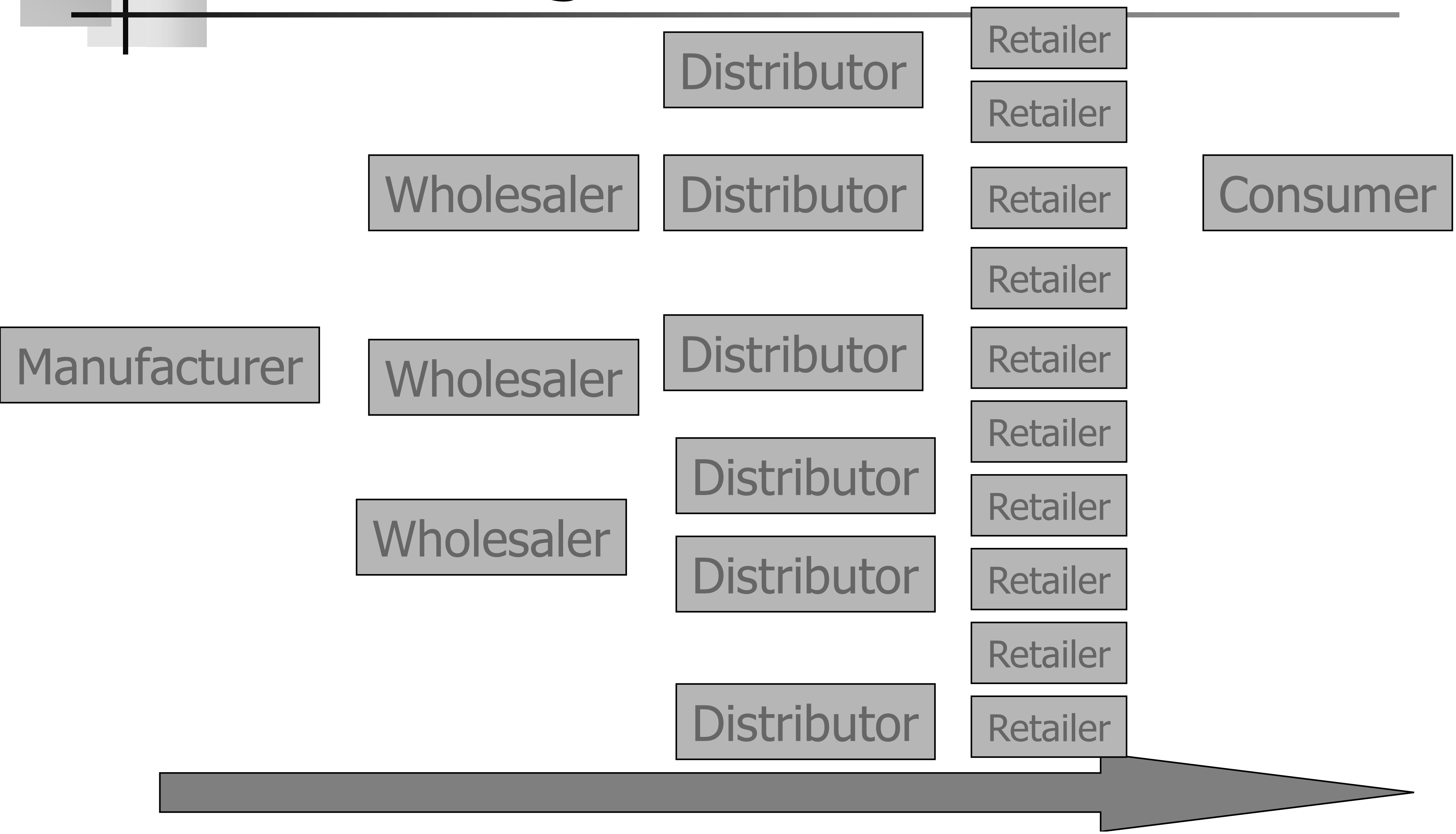
Distribution and Marketing Channels

- ✓Introduction to Marketing Channels
- ✓Types of Intermediaries
- ✓ Retailing and Wholesaling
- ✓Decisions and Design in Channels

Marketing Channels

- A set of interdependent organizations involved in the process of making product or service available for use or consumption
- Those facilitating the process but are not originator or final receiver of product or service termed as Intermediaries

A Typical and Simple Marketing Channel



Advantages / Needs of Intermediaries in Marketing

- To ensure wider availability/market coverage of Goods (Geographically and Otherwise)
- Lesser number of contacts and Transactions for the customer and the supplier
- Waiting Time for possessing goods reduced
- Assortment of many goods available at the same Place
- Services such as Delivery, After Sale Service, Warranty available to customer

Advantages / Needs of Intermediaries in Marketing

- Intermediaries have superior efficiency due to contacts, experience specialization and scale of Operations.
- Sharing of or enhancement of resources of manufacturer such as Premises, Finances, Manpower for achieving shared Goals
- Direct Marketing may not be feasible
- Manufacturing may be core competence or only feasible

Main purpose of any Marketing Channel

- Flow of Goods

- To overcome Time, Place and Possession gaps that separate goods and services from those who want them

Functions performed in Marketing Channels II

- Physical Distribution and transportation
- Carrying Inventory/ Warehousing
- Demand Generation
- Selling
- Promotion of Products/Services
- Carrying Information to Customer from Manufacturer/ Marketer and from Customer/Market to Manufacturer
- After Sales Service
- Extending Credit / Financing

Marketing Flows in Channels I

Forward Flow (Company to Customer)

- Physical Possession
- Ownership / Title of Goods
- Promotion

Backward Flow (Customer To Company)

- Ordering
- Payment

Marketing Flows in Channels II

Two Way Flow (Company to Customer and Customer To Company)

- Negotiation
- Financing
- Risking
- Information

Members of Marketing Channels

- Manufacturers
- Intermediaries: Wholesalers, Retailers, Distributors, Stockists etc
- End Users: Business Customers or Consumers

Presence or absence of a type of intermediary/channel member dictated by ability to perform necessary channel flows to add value to the end user

Types of Marketing Intermediaries - I

- Merchants:Those that buy/take title of goods and resell:

  Retailer: Sells goods or services directly to final consumer for his/her personal or non-business use.

  Wholesaler:Sells goods or services to those who buy for resale or business use

Types of Marketing Intermediaries - II

- Agents: Those that search for customer negotiate for sale but do not take title

Broker:Brings buyer and seller together, does not carry inventory, finance or take risk.

Facilitator: Only facilitates in Distribution of goods/services

Manufacturer's Representative:Sells goods of one or many manufacturers

Types of Retailers:Store based Retailers

- Convenience Stores
- Superstores
- General stores
- Grocers
- Department Stores
- Specialty Stores
- Bulk Market Shops
- Malls

Types of Retailers: Non Store based Retailers

- Direct Selling: One to One, One to Many, Multi level
- Direct Marketing: Direct Mail, Catalogue, Telemarketing
- Automatic Vending: Especially for convenience goods
- Buying Services:Store less Retailer

Retail organization types classified by ownership

- Proprietary
- Chain
- Franchise
- Cooperatives

Retailer’s Marketing Decisions

- Target Market: Income strata, Variety, Depth or Convenience
- Product Assortment and Procurement: Forecasting demand

  Merchandise Selection

  Stock Control

  Space Allocation and Display

  Assortment Breadth and Depth

Retailer's Marketing Decisions II

- Service and Store Atmosphere
- Promotion
- Pricing
- Place/ Location of Store

Level / Length of Marketing Channel

- Number of Intermediaries excluding producer and consumer who are a part of the channel is the “Length of the Channel” or “Level of Channel”;

E.g. above channel is three level

Channel Design Decisions I

1. Analyze Customer Desired Service Output Level: a)Lot Size b)Waiting Time c)Spatial Convenience d) Product Variety e) Service Back up
2. Establish Channel Objectives and Constraints: a) Targeted Service Output levels b)Market Segments to serve c)best channels to use d)Costs

Channel Design Decisions I I

3. Identify Major Channel alternatives: a) Types of Intermediaries b) Number of Intermediaries c) Terms and responsibilities of Channel Members: Price policies, conditions of sale, territorial rights and specific services
4. Evaluate Major Channel alternatives: On the basis of Economic, Control and Adaptive criteria

Channel Design Decisions I I I

5. Channel Management Decisions: Select individual intermediaries, motivate and evaluate. Modify arrangements over time

Considerations for Selecting Channel Members

- Number of Years member has spent in business
- Other Lines in Business
- Record of Growth in Profit
- Solvency
- Cooperativeness
- Reputation
- Size and Quality of Sales Force
- Location
- Type of Clientele

Wholesaling / Activities of Wholesaler

Activities involved in selling goods and services to those who buy for resale or business use;

Activities of Wholesaler

- Selling and Promoting
- Buying and Assortment Building
- Bulk Breaking
- Warehousing

Activities of Wholesaler

- Transportation
- Financing
- Risk Bearing
- Market Information
- Management Services and Retailer Counseling

Types of Wholesaler

- Merchant Wholesaler
- Agent
- Manufacturer’s Branches and Offices
- Miscellaneous Retailer

Wholesaler’s Marketing Decisions

- Target Market: Size, Type of Customer, Service need
- Product assortment and Services
- Pricing: How much mark up?
- Promotion: Reliance on sales force
- Place: Rent etc.

Market Logistics

Planning, Implementing and Controlling physical flow of materials and final goods from point of origin to point of use to meet customers requirements at a profit

Market Logistics Decisions

- Order Processing: How should Orders be handled?
- Warehousing: Where should Stocks be located?
- Inventory: How much Stocks should be held?
- Transportation: How should goods be shipped?

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Questions and Discussion

Thank You

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